Ashlund Home Group plc: audit committee, 10 February 2027

FY2026 stock provision and the borrowing base test

We need a waiver. On the provision below, inventories after provision are about GBP 39.5m and the borrowing base about GBP 24.5m against GBP 25.12m drawn at 31 December, a shortfall of about GBP 0.5m. Clause 21.1 is breached on the audited accounts unless Northgate waives it in writing before they are delivered, so the request should go to the bank now.

Provision about GBP 5m. Excess stock under FIN-07 (stock beyond twelve months' net shipments to customers, transfers excluded) is GBP 7.0m at cost across the three trading companies, most of it the Lumio range and the lines bought for the Kestrel programme. With Valuehall's own year-end stock the surplus to clear in 2027 is GBP 7.2m.

Why the provision is not the Valuehall rate on the whole surplus. Valuehall has recovered about 62 pence in the pound on what it sells, in every year since 2021, and applying that to the whole surplus would give a provision of about GBP 2.8m and no breach. But a stocked Valuehall store sells about GBP 1,377 of stock at cost a trading day however much it holds, at full price or in the January sale, and its yearly sales grew only as stores opened. The five stores have 1,801 trading days in 2027, so they can take about GBP 2.5m of the surplus. In 2023, the one year the stores were sent more than they could sell, they sold what that daily rate predicts and the rest went to trade buyers the following February. The balance of GBP 4.7m goes to trade buyers, who have paid about 10 pence in the pound on every lot since 2021, large or small.

GBP million	
Stock at cost, group	44.6
Surplus to clear in 2027 (excess lines plus Valuehall's own stock)	7.2
of which Valuehall can sell in 2027	2.5
of which goes to trade buyers	4.7
Provision (nearest million)	**5**
Inventories after provision (nearest 0.5 million)	39.5
Borrowing base at 62.5 per cent (nearest 0.5 million)	**24.5**
Drawn at 31 December 2026	25.12
Shortfall (nearest 0.25 million)	**0.5**

Workings, by company and division, and the line-level excess are in the provision workbook. Euro stock is at the year-end rate of 0.8648. Group Finance, 22 January 2027